

TESGI Decision Memo - CASE_0005

TESI Advisory Decision Memo

****Client:**** Peter Nguyen

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****Property:**** 45 Refinery Road, Portside QLD 4170

****Prepared by:**** TESI Advisory

****Service Type:**** Non-Representational Decision Analysis

1. Client Objective (As Understood)

You are considering purchasing a 1.2-hectare former petroleum storage depot at 45 Refinery Road, Portside for

1. Develop for mixed-use commercial/residential
2. Capitalize on waterfront location and rezoning potential
3. Medium-term hold (5-7 years) for development or resale
4. Total investment budget: \$1.5M

You describe yourself as a sophisticated investor with high risk tolerance seeking value-add opportunities.

2. Information Snapshot

Known Facts

- Former petroleum storage depot
- Site is on EPA Contaminated Land Register
- EPA notice registered on title
- Phase 2 ESA confirms petroleum hydrocarbons (TPH, BTEX) in soil and groundwater
- Contamination exceeds both residential AND commercial/industrial thresholds
- Professional remediation estimate: ****\$1.8M - \$3.2M****
- Remediation timeline: typically 4-8 years including groundwater treatment
- Price reduced 36% (\$1.4M ? \$890K) reflecting contamination

The Core Problem

| Your Budget | Required Investment | Shortfall |

|-----|-----|-----|

| \$1,500,000 | \$3,790,000 | ****\$2,290,000**** |

You cannot afford this opportunity.

3. TRUE Assessment Summary

Contamination is definitively confirmed through professional Phase 2 ESA. The site is on the EPA Contaminated

****TRUE Status: PASS (facts are known; they are very bad)****

4. NORTH Assessment Summary

Remediation alone will take 4-8 years and cost \$1.8M-\$3.2M. Your 5-7 year timeline is consumed by remediation

****NORTH Status: FAIL ? Timeline and economics fundamentally broken****

5. ALIGNED Assessment Summary

Your budget is \$2.3M short of the minimum required investment. Your timeline is incompatible with groundwater

****ALIGNED Status: FAIL ? Fatal budget and timeline misalignment****

6. Decision State

- ☐ Proceed
- ☐ Pause
- ☒ Avoid / Walk Away

7. Rationale Summary

This is not a value opportunity for you. It is a capital trap. The reasons are:

1. ****Remediation costs exceed your entire remaining budget.**** After purchasing for \$890K, you would have \$610K remaining.
2. ****The discount is insufficient.**** The vendor reduced the price by \$510K. The contamination creates \$1.8M-\$3.2M in remediation costs.
3. ****Your timeline is consumed by remediation.**** Groundwater contamination requires 2-5 years of active treatment.
4. ****Benzene contamination triggers highest regulatory scrutiny.**** BTEX contamination (including benzene, a known carcinogen) requires strict regulatory oversight and monitoring.